

July 23, 2026 04:01 AM GMT

ServiceNow Inc | North America

2Q26 Results - Building Confidence into the Second Half

AlphaSignals Earnings Reaction

Strengthens our thesis Impact to our thesis	↑ Modest upside Financial results versus consensus	— Largely unchanged Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

A cleaner and larger beat on 2Q cRPO and subs rev should reassure on the potential for acceleration in the business through 2H26 and beyond. The 3Q guide is noisier on Fed pull forward into 2Q, but the FY guide was raised. Overall, we see our OW thesis intact heading into an attractive 2H.

Key Takeaways

- 2Q cRPO grew 21.5% cc, 2pp above street / guide returning to a greater magnitude of beat. We estimate org. subs growth accelerated in 2Q from c. 18% to c. 20%.
- AI ACV remained strong with the company highlighting acceleration in the quarter to “well north” of \$1B.
- Some noise around the 3Q guide commentary takes a small amount of the shine off the strong 2Q but our checks suggest more on caution than on pipeline weakness.
- The improved 2Q results reinforce our thesis that NOW should be one of the earlier apps names to see revenue inflection.
- At c. 2027 34x GAAP P/E or 27x EV/FCF (post-SBC) for high teens topline and margin expansion we remain OW.

Greater evidence of the turn - remain OW, more conviction in AI monetization driving an accel to a still solid core: 2Q was a much cleaner print for NOW, with cRPO growth of 21.5% cc beating Street and guidance by ~2pts, a stronger beat than 1Q, supporting the view that growth can reaccelerate. Subscription revenue was also well ahead at +23% cc, and we estimate organic growth accelerated from ~18% in 1Q to ~20% in 2Q. AI is becoming more tangible, with ServiceNow AI crossing \$1bn in ACV, agentic deployments up ninefold in nine months, and large-deal/customer metrics strong. The only real friction was 3Q guidance, as stronger Federal business pulled forward into 2Q and pressured the 3Q revenue/margin setup, but FY subscription guidance was still modestly raised and FY operating income / FCF guidance held unchanged on flat headcount. Given our 2Q checks, especially on the 3Q Fed pipe (see [ServiceNow Inc: 2Q26 Preview – Time to Push Through The Noise](#)

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ServiceNow Inc (NOW.N, NOW UN)

Software | United States of America

Stock Rating	Overweight
Industry View	Attractive
Price target	\$180.00
Shr price, close (Jul 22, 2026)	\$95.46
Mkt cap, curr (mm)	\$98,706
52-Week Range	\$210.00-81.25

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$) **	3.51	4.09	5.06	6.05
Prior EPS (\$) **	-	4.20	4.98	6.00
P/E	75.7	39.7	32.3	25.2
EPS (\$) §	3.47	4.13	5.03	6.11
Div yld (%)	-	-	-	-

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	0.81	-	0.97a	1.16	1.16
Q2	0.82	-	0.90a	1.03	1.15
Q3	0.96	1.15	1.02	1.37	1.29
Q4	0.92	1.21	1.20	1.42	1.45

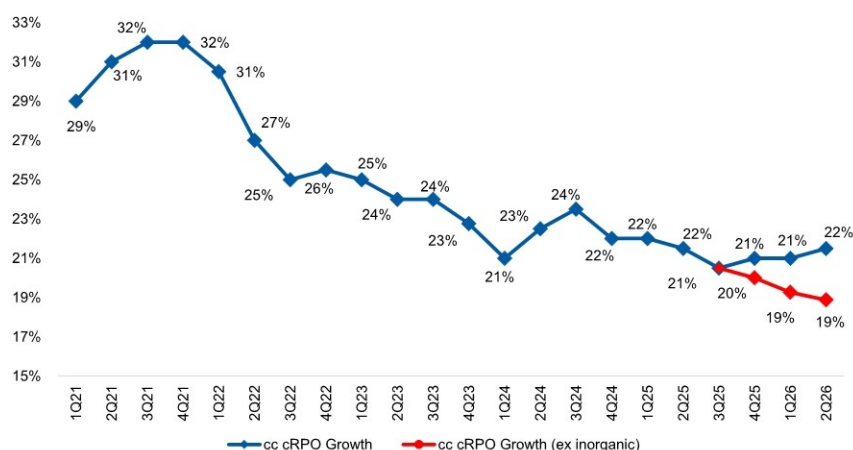
e = Morgan Stanley Research estimates, a = Actual Company reported data

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(17 Jul 2026)), and a confident conference call, we're on the side that 3Q is more about caution than any sign of slowdown in business / pipeline. At 34x 2027 GAAP P/E / 27x EV/FCF (post-SBC) we think ServiceNow remains very attractive for high teens topline growth combined with room for margin expansion. Not at least regaining the ground the shares lost during normal hours during the aftermarket seems harsh and we remain OW.

Exhibit 1: Q2 cc cRPO Growth of +21.5% YoY Came in Ahead of Consensus. Organic Growth Remains The Key Focus



Source: Company data, Morgan Stanley Research

What We Liked in Q2:

- **Beat magnitude improved QoQ.** NOW returned a more meaningful beat in the quarter on cc subs revenue and cRPO. We also saw org subs growth accelerate in 2Q. The conference call suggested the noise around 2Q pull forward of Fed deals driving weaker 3Q business was more predicated on general caution in the environment than anything they see in the Fed pipe which was seen as strong.
- **Healthy demand backdrop.** CEO Bill McDermott said the company had not seen any dislocation of software spend from hardware in the quarter, unlike some other enterprise software companies, with NOW rather seeing an acceleration.
- **Reaffirmed margins an encouraging sign as the company digests recent acquisitions.** Discipline on costs, but still investing for growth – we think it's important that growth companies can invest to drive that growth – but equally important a balance is struck, especially after a period of M&A investment. It strikes us that the reconfirmed aim of flat headcount (more 4Q weighted as 1H saw M&A heads come in) is reasonable as it allows for quota carrying sales and AI talent while margins can still expand.
- **Strong AI metrics.** AI deal momentum remains strong with the company noting the move to >\$1bn in AI ACV was an acceleration in the Q. This reinforces our view that NOW should be earlier to see an AI driven inflection relative to other application software vendors.

Areas to Monitor:

- **Gross margin trends an area to watch.** Gross margin pressure as the margin guide came down for the FY, offset by operating efficiencies to drive a retained op margin guide. The pressure came from AI consumption and higher hyperscaler costs. The company reassured a reasonable gross margin floor would be c. 80% and sees room for gross margins to tick back up as it optimizes hyperscaler spend and sees ongoing improvements around AI costs as token costs come down and consumption revenues increase over time.
- **3Q guidance an area to potentially scrutinize.** The noise around the 3Q guide offsets some of the shine from the strong 2Q. Our channel checks also suggest the 3Q Fed pipe is strong suggesting the outlook is indeed more based on caution than any core slowdown – but to be confirmed.

Exhibit 2: ServiceNow Variance Table

	2025	3Q25	Actuals	1Q24	2Q26	MSe	Consensus	Actual vs Consensus
(\$ in millions, except EPS)			4Q24					
Subscription Revenue	3,113.0	3,299.0	3,466.0	3,671.0	3,877.0	3,817.5	3,817.3	1.5%
YoY - Reported	22.5%	21.5%	20.9%	22.2%	24.5%	22.6%	22.6%	
YoY - Constant Currency	21.5%	20.5%	19.5%	19.0%	23.0%	21.3%	21.4%	160bps
Current Remaining Performance Obligations (cRPO)	10,920.0	11,350.0	12,850.0	12,640.0	13,200.0	12,989.5	12,995.9	1.6%
YoY - Reported	24.4%	21.3%	25.1%	22.6%	20.9%	19.0%	19.0%	
YoY - Constant Currency	21.5%	20.5%	21.0%	21.0%	21.5%	19.5%	19.5%	195bps
Total Revenue	3,215.0	3,407.0	3,568.0	3,770.0	3,987.0	3,917.7	3,925.8	1.6%
YoY	22.4%	21.8%	20.7%	22.1%	24.0%	21.9%	22.1%	
Non-GAAP Operating Income	955.0	1,140.0	1,101.0	1,199.0	1,173.0	1,038.0	1,044.8	12.3%
Operating Margin (%)	29.7%	33.5%	30.9%	31.8%	29.4%	26.5%	26.6%	281bps
YoY Change (bps)	230	228	137	94	-28	-321	-309	
Non-GAAP EPS	0.82	0.96	0.92	0.97	0.90	0.87	0.86	\$0.04
Free Cash Flow	535.0	592.0	2,032.0	1,665.0	634.0	550.4	647.6	-2.1%
FCF Margin (%)	16.6%	17.4%	57.0%	44.2%	15.9%	14.0%	16.5%	(59)bps

Next Quarter		3Q26 Guidance		MSe	Consensus	Guide vs Consensus
(\$ in millions, except EPS)		Low	High			
Subscription Revenue	3,975.0	3,980.0	3,977.5	4,008.8	4,005.1	-0.1%
YoY - Reported			20.5%	21.5%	21.4%	
YoY - Constant Currency			20.0%	21.1%	20.9%	(65)bps
Current Remaining Performance Obligations (cRPO)			13,563	13,509.7	13,513.7	0.4%
YoY - Reported			19.5%	19.0%	19.1%	44bps
YoY - Constant Currency			20.0%	19.5%	19.4%	58bps
Non-GAAP Operating Margin			31.0%	33.8%	32.6%	(160)bps
YoY Change (bps)			-246	29	-86	

Forward Annual Guidance							
	FY26	MSe	Consensus	Guide vs Consensus	Prior Guidance	Guidance Change	
(\$ in millions, except EPS)							
Subscription Revenue	15,770.0	15,755.0	15,761.0	0.1%	15,755.0	\$15	
YoY - Reported	22.5%	22.3%	22.3%	16bps	22.3%	5bps	
YoY - Constant Currency	21.0%	20.6%	20.9%	15bps	20.8%	10bps	
Non-GAAP Operating Margin	31.5%	31.5%	31.5%	0bps	31.5%	0bps	
YoY Change (bps)		24	25				
Free Cash Flow Margin	35.0%	35.0%	35.0%	0bps	35.0%	0bps	

Source: Company data, Morgan Stanley Research

Risk Reward – ServiceNow Inc (NOW.N)

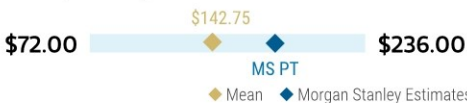
Seeing the Forest For the Trees

PRICE TARGET \$180.00

Discount of 21x Base Case CY30e FCF of ~\$11.8B, discounted back at 11.9% WACC, plus \$7 in CY26 net cash per share. 21x multiple supported by 19% 2-yr FCF CAGR in CY28-CY30.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



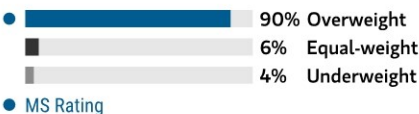
OVERWEIGHT THESIS

ServiceNow's strong network of system integrations and cohesive data fabric position the company well to serve as the go-to workflow automation and agentic orchestration platform. The company has generated 20%+ subscription revenue and free cash flow growth and believe it is well-positioned to achieve a similar growth profile supported by expansion into new workflows and Now Assist/new product adoption.

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$220.00

Discount of ~23x Bull Case CY30e FCF of ~\$13.7B

New Markets Take Off. Demand for NOW's core ITSM offering holds strong, demand for non-core IT workflows takes off. Sub Revenue grows '25-'30 at a 21% CAGR, while margins expand to 36% in FY30 from 10% in FY15. NOW trades at 23x our CY30 FCFe of \$13.7B discounted back at 11.9% WACC + \$9 in CY26 net cash/share.

BASE CASE \$180.00

Discount of ~21x Base Case CY30e FCF of ~\$11.8B

Steady Investment in Expanding Market Oppty With Premier Unit Economics Drives Durable FCF CAGR. NOW delivers solid growth through a combination of success in core ITSM and an increasing revenue contribution from new product areas like Now Assist. Sub Revenue grows '25-'30 at a 20% CAGR, while margins expand to 35% in FY30 from 10% in FY15. NOW trades at 21x our CY30 FCFe of \$11.8B discounted back at 11.9% WACC + \$7 in CY26 net cash/share.

BEAR CASE \$75.00

Discount of ~9x Bear Case CY30e FCF of ~\$11.2B

TAM Expansion Stalls. NOW continues to see adoption in ITSM, but the revenue generated from new product areas is less than hoped, weighing on forward revenue growth. Sub Revenue grows '25-'30 at a 19% CAGR, while margins expand to 35% in FY30 from 10% in FY15. NOW trades at 9x our CY30 FCFe of \$11.2B discounted back at 11.9% WACC + \$7 in CY26 net cash/share.

Risk Reward – ServiceNow Inc (NOW.N)

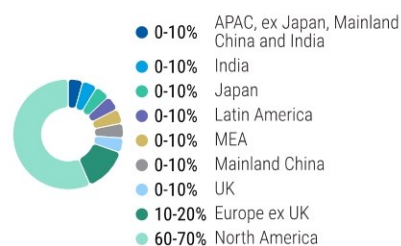
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Con. Duration, CC Subscription Billings YoY Growth (%)	0.0	0.0	0.0	0.0
Subscription Revenue YoY Growth (%)	21.0	22.4	19.8	19.0
Total Revenue YoY Growth (%)	20.9	22.1	19.5	18.9
Operating Margin % (%)	31.2	31.5	32.5	33.5
FCF YoY Growth (%)	34.2	22.2	21.3	20.7

INVESTMENT DRIVERS

- Stable levels of sales productivity with sales headcount growing ~30% annually.
- Growth in ACV in enterprise customers from seat growth + adoption of new use cases.
- Growing share in \$6B TAM for ITSM plus \$54B of additional TAM with newer products.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Greater than expected share gains in new markets as upsell and cross-sell motion takes hold;
- Superior unit economics drive faster than expected FCF growth;
- Improving traction with Federal Government

RISKS TO DOWNSIDE

- Tougher competition from low-end vendors and SaaS peers;
- Sales productivity may decline as with growth if new markets prove challenging;
- Seat-based pricing proves more difficult amidst GenAI disruption

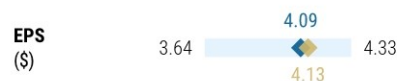
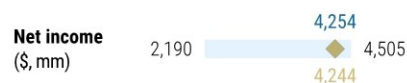
OWNERSHIP POSITIONING

Inst. Owners, % Active	54.5%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Analysis

Exhibit 3: NOW Model Changes

Model Changes	FY24	FY25	3/26	6/26	9/26E	12/26E	FY26E	FY27E	FY28E
New Subscription Rev	10646.0	12883.0	3671.0	3877.0	3977.5	4244.4	15770.0	18886.8	22479.0
YoY Growth	22.6%	21.0%	22.2%	24.5%	20.6%	22.5%	22.4%	19.8%	19.0%
Old Subscription Rev	10646.0	12883.0	3671.0	3817.5	4008.6	4257.9	15755.0	18752.9	22284.0
YoY Growth	22.6%	21.0%	22.2%	22.6%	21.5%	22.8%	22.3%	19.0%	18.8%
% Change	0.0%	0.0%	0.0%	1.6%	-0.8%	-0.3%	0.1%	0.7%	0.9%
New Total Revenue	10984.0	13278.0	3770.0	3987.0	4091.8	4357.9	16206.7	19369.5	23029.7
YoY Growth	22.4%	20.9%	22.1%	24.0%	20.1%	22.1%	22.1%	19.5%	18.9%
Old Total Revenue	10984.0	13278.0	3770.0	3917.7	4123.8	4371.7	16183.3	19222.6	22818.7
YoY Growth	22.4%	20.9%	22.1%	21.9%	21.0%	22.5%	21.9%	18.8%	18.7%
% Change	0.0%	0.0%	0.0%	1.8%	-0.8%	-0.3%	0.1%	0.8%	0.9%
New Operating Income	3255.0	4149.0	1199.0	1173.0	1268.1	1458.9	5098.9	6288.0	7708.5
New Operating Margin	29.6%	31.2%	31.8%	29.4%	31.0%	33.5%	31.5%	32.5%	33.5%
Old Operating Income	3255.0	4149.0	1199.0	1038.0	1391.8	1466.2	5095.0	6238.3	7653.2
Old Operating Margin	29.6%	31.2%	31.8%	26.5%	33.8%	33.5%	31.5%	32.5%	33.5%
% Change	0.0%	0.0%	0.0%	13.0%	-8.9%	-0.5%	0.1%	0.8%	0.7%
New Non-GAAP EPS	2.78	3.51	0.97	0.90	1.02	1.20	4.09	5.06	6.05
Old Non-GAAP EPS	2.78	3.51	0.97	0.87	1.15	1.21	4.20	4.98	6.00
% Change	0.0%	0.0%	0.0%	3.8%	-11.0%	-1.2%	-2.6%	1.4%	0.8%
cRPO	10270.0	12850.0	12640.0	13200.0	13562.5	15293.2	15293.2	18107.3	21368.9
YoY Growth	19.4%	25.1%	22.6%	20.9%	19.5%	19.0%	19.0%	18.4%	18.0%
Old cRPO	10270.0	12850.0	12640.0	12989.5	13509.7	15210.1	15210.1	17974.6	21235.4
YoY Growth	19.4%	25.1%	22.6%	19.0%	19.0%	18.4%	18.4%	18.2%	18.1%
% Change	0.0%	0.0%	0.0%	1.6%	0.4%	0.5%	0.5%	0.7%	0.6%
New OCF	4260.6	5444.0	1670.0	587.0	963.9	2972.0	6192.8	7862.5	9468.7
OCF Margin	38.8%	41.0%	44.3%	14.7%	23.6%	68.2%	38.2%	40.6%	41.1%
Old OCF	4260.6	5444.0	1670.0	781.4	1062.9	2948.5	6462.9	7954.3	9554.4
Old OCF Margin	38.8%	41.0%	44.3%	19.9%	25.8%	67.4%	39.9%	41.4%	41.9%
% Change	0.0%	0.0%	0.0%	-24.9%	-9.3%	0.8%	-4.2%	-1.2%	-0.9%
New FCF	3455.0	4636.0	1665.0	634.0	677.9	2689.6	5666.4	6874.6	8295.1
New FCF Margin	31.5%	34.9%	44.2%	15.9%	16.6%	61.7%	35.0%	35.5%	36.0%
Old FCF	3455.0	4636.0	1665.0	550.4	777.6	2666.5	5659.5	6831.2	8223.3
Old FCF Margin	31.5%	34.9%	44.2%	14.0%	18.9%	61.0%	35.0%	35.5%	36.0%
% Change	0.0%	0.0%	0.0%	15.2%	-12.8%	0.9%	0.1%	0.6%	0.9%

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: NOW Income Statement

(\$ millions, Except Per-Share Data)

	FY20	FY21	FY22	FY23	FY24	FY25	3/26	6/26	9/26E	12/26E	FY26E	3/27E	6/27E	9/27E	12/27E	FY27E	FY28E
Subscription Revenue	4,285.8	5,573.0	6,891.0	8,680.0	10,646.0	12,883.0	3,671.0	3,877.0	3,977.5	4,244.4	15,770.0	4,487.2	4,643.3	4,771.0	5,064.6	18,886.8	22,479.0
Year over year % change	31.7%	30.0%	23.6%	26.0%	22.6%	21.0%	22.2%	24.5%	20.6%	22.5%	22.4%	20.1%	19.8%	20.0%	19.3%	19.8%	19.0%
Professional Services Revenue	233.7	322.8	354.0	291.0	338.0	395.0	99.0	119.0	114.3	113.4	436.8	166.7	126.2	131.1	122.7	482.7	560.7
Year over year % change	13.6%	37.8%	9.6%	-17.6%	16.2%	16.2%	19.2%	7.6%	-5.8%	-1.2%	10.6%	9.8%	9.2%	14.7%	8.2%	10.5%	14.1%
Total Revenue	4,519.5	5,895.8	7,245.0	8,971.0	10,984.0	13,278.0	3,770.0	3,997.0	4,091.8	4,357.9	16,206.7	4,653.9	4,769.5	4,902.2	5,187.3	19,369.5	23,029.7
Year over year % change	30.6%	30.4%	22.9%	23.8%	22.4%	20.9%	22.1%	24.0%	20.1%	22.1%	22.1%	19.8%	19.5%	19.8%	19.0%	19.5%	18.9%
Quarter over quarter % change							5.7%	5.8%	2.6%	6.9%		3.8%	5.5%	2.9%	5.8%		
Cost of Revenue	596.8	830.0	956.0	1,327.0	1,608.0	2,160.0	674.0	754.0	777.5	833.9	3,039.5	865.9	912.4	937.4	995.1	3,710.9	4,416.7
Cost of Professional Services Revenue	204.7	272.0	319.0	263.0	299.0	367.0	108.0	126.0	101.3	115.4	450.7	118.3	137.3	115.9	124.5	496.1	561.8
Total Cost of Revenue	801.5	1,102.0	1,275.0	1,590.0	1,907.0	2,517.0	782.0	880.0	878.8	949.3	3,490.2	984.3	1,049.8	1,053.3	1,119.6	4,207.0	4,978.5
Gross Profit	3,718.0	4,793.0	5,970.0	7,381.0	9,077.0	10,761.0	2,988.0	3,107.0	3,313.0	3,488.6	12,716.5	3,531.7	3,714.3	3,848.8	4,067.7	15,162.6	18,051.2
Gross Margin	82.3%	81.3%	82.4%	82.3%	82.6%	81.0%	79.3%	77.9%	78.5%	78.2%	78.5%	76.2%	78.0%	78.5%	78.4%	78.3%	78.4%
Subscription Gross Margin	86.1%	85.1%	86.1%	84.7%	84.6%	83.3%	81.6%	80.6%	80.5%	80.4%	80.7%	80.4%	80.4%	80.4%	80.4%	80.4%	80.4%
Professional Services Gross Margin	12.4%	15.5%	9.8%	8.6%	11.5%	7.1%	-9.1%	-14.5%	-11.4%	-17.8%	-3.2%	-8.6%	-14.3%	11.0%	-1.5%	-2.6%	-2.0%
Operating Expenses	1,533.4	1,903.0	2,355.0	2,796.0	3,289.0	3,755.0	1,041.0	1,116.0	1,058.0	1,060.8	4,275.9	1,152.1	1,309.7	1,243.1	1,252.4	4,967.3	5,758.7
Sales & Marketing	740.3	990.0	1,252.0	1,533.0	1,860.0	2,148.0	582.0	613.0	656.2	657.6	2,508.8	681.3	727.7	737.2	738.6	2,884.9	3,367.9
General & Administration	323.1	417.0	503.0	563.0	674.0	789.0	166.0	205.0	230.6	233.3	832.8	244.0	256.9	264.1	267.5	1,032.5	1,216.1
Total Operating Expenses	2,096.8	3,310.0	4,110.0	4,892.0	5,822.0	6,612.0	1,789.0	1,934.0	1,944.9	1,949.7	7,617.6	2,077.5	2,294.3	2,244.3	2,258.5	8,874.6	10,340.7
Year over year % change	20%	27%	24%	19%	19%	14%	12%	17%	20%	11%	15%	16%	19%	15%	16%	17%	17%
Operating Income	1,121.2	1,483.0	1,860.0	2,489.0	3,255.0	4,149.0	1,199.0	1,173.0	1,268.1	1,458.9	5,098.9	1,454.2	1,420.1	1,604.5	1,609.2	6,288.0	7,708.5
Operating Margin	24.8%	25.2%	25.7%	27.7%	29.6%	31.2%	31.8%	29.4%	31.0%	33.5%	31.5%	32.2%	29.8%	32.7%	34.8%	32.5%	33.5%
Depreciation	336.4	472.0	433.0	562.0	564.0	738.0	258.0	407.0	417.0	431.7	1,513.6	420.3	434.2	446.0	462.8	1,763.3	1,954.2
EBITDA	1,457.6	1,955.0	2,293.0	3,051.0	3,819.0	4,687.0	1,457.0	1,580.0	1,685.0	1,890.5	6,612.5	1,874.5	1,854.2	2,050.5	2,272.0	8,051.3	9,662.7
EBITDA Margin	32.3%	33.2%	31.6%	34.0%	34.8%	36.8%	38.6%	39.6%	41.2%	42.4%	40.8%	41.5%	38.9%	41.8%	43.6%	41.6%	42.0%
Net Interest and Other Income (Expense)	28.0	1.0	44.0	246.0	374.0	437.0	170.0	276.0	70.0	83.5	609.5	60.3	77.0	83.2	89.7	310.2	266.0
Income Before Taxes	1,149.2	1,484.0	1,904.0	2,735.0	3,629.0	4,586.0	1,369.0	1,449.0	1,338.1	1,552.4	5,708.4	1,514.5	1,497.0	1,687.8	1,698.9	6,598.2	7,974.5
% of revenues	25.4%	25.2%	26.3%	30.5%	33.0%	34.5%	36.3%	36.3%	32.7%	35.6%	35.2%	33.5%	31.4%	34.4%	36.6%	34.1%	34.6%
Provision (Benefit) for Income Taxes	233.7	281.0	361.0	520.0	727.0	917.0	367.0	519.0	367.8	310.4	1,464.2	302.8	299.3	337.5	378.7	1,319.4	1,504.6
% Tax Rate	19.5%	18.9%	19.0%	20.0%	20.0%	20.0%	26.1%	36.8%	20%	20%	25.5%	20%	20%	20%	20%	20.0%	20.0%
Net Income	925.5	1,203.0	1,543.0	2,215.0	2,902.0	3,669.0	1,012.0	930.0	1,070.2	1,242.0	4,244.2	1,211.7	1,197.7	1,350.3	1,519.2	5,278.8	6,380.0
Net margin	20.5%	20.4%	21.3%	24.7%	26.4%	27.6%	26.8%	23.3%	26.2%	28.5%	26.2%	26.8%	25.1%	27.5%	29.3%	27.3%	27.7%
Pro Forma EPS - Operating ⁽¹⁾	\$0.93	\$1.19	\$1.52	\$2.16	\$2.78	\$3.51	\$0.97	\$0.90	\$1.02	\$1.20	\$4.09	\$1.16	\$1.15	\$1.29	\$1.45	\$5.06	\$6.05

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: NOW Revenue Drivers

(\$ in millions, except EPS)

	2020E						2021E						FY22E	
	FY20	FY21	FY22	FY23	FY24	FY25	2020	2021	2022E	2023E	2024E	2025E	FY22E	FY23E
Revenue Model														
Subscription Revenue	4,285.8	5,572.0	6,891.0	8,685.0	10,646.0	12,883.0	3,671.8	3,877.8	5,877.5	4,246.4	15,775.8	4,407.2	4,771.8	5,064.4
YoY % change	31.7%	30.0%	23.6%	26.0%	22.6%	21.0%	22.2%	24.6%	20.6%	22.5%	22.4%	20.1%	19.8%	19.8%
QoQ % change	-	-	-	-	-	-	5.8%	5.4%	2.6%	6.7%	3.8%	5.4%	2.7%	6.2%
2-Year Avg Seasonality	-	-	-	-	-	-	6%	2%	6%	5%	87%	5%	4%	6%
% of Total	98%	98%	98%	97%	97%	97%	29%	31%	30%	31%	29%	31%	30%	32%
Upfront Rev from Self-Insured Deployments	205.0	241.0	253.0	322.0	406.0	492.0	138.0	-	-	-	-	-	-	-
YoY % change	25.0%	17.0%	5.0%	27.3%	27.0%	20.3%	-12.1%	-	-	-	-	-	-	-
Professional Services Revenue	233.7	322.0	354.0	391.0	338.0	395.0	99.0	110.0	114.3	113.4	436.8	108.7	126.2	131.1
YoY % change	14%	38%	10%	-18%	16%	17%	19%	8%	4%	1%	11%	16%	9%	14%
QoQ % change	-	-	-	-	-	-	-3%	17%	4%	-1%	-	-4%	17%	9%
Alloc. Rate	5%	6%	5%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	2%
% of Total	6%	6%	5%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	2%
Total Revenue	4,519.5	5,895.0	7,245.0	9,071.0	10,984.0	13,375.0	3,770.8	3,987.8	4,091.8	4,359.8	16,266.7	4,515.9	4,761.1	4,962.2
YoY % change	36.1%	30.4%	22.9%	23.8%	20.4%	20.9%	22.1%	24%	20.1%	22.1%	22.1%	19.8%	19.5%	19.5%
QoQ % change	-	-	-	-	-	-	5.7%	6%	2.6%	6.5%	3.8%	5.5%	2.9%	5.8%
RPO Bookings Analysis														
Total RPO	8,900	11,500	14,000	16,000	22,300	28,200	27,700	29,000	29,537	33,562	33,562	32,997	34,490	34,491
YoY Growth	30%	29%	22%	29%	24%	26%	25%	21%	19%	19%	19%	19%	19%	19%
QoQ Growth	-	-	-	-	-	-	-2%	5%	0%	16%	16%	-2%	5%	16%
2-Year Avg Seasonality	-	-	-	-	-	-	-1%	7%	3%	16%	16%	-1%	6%	1%
% to be recognized in NTM per footcandle	-	-	-	-	-	-	46%	46%	47%	46%	46%	46%	46%	46%
Current RPO	4,400	5,600	6,940	8,660	10,270	12,850	12,640	13,200	13,562	15,200	15,200	15,087	15,700	16,068
YoY Growth	23.1%	29.1%	22.2%	22.9%	19.4%	23.1%	-1.6%	4.4%	2.7%	12.8%	12.8%	-1.6%	4.3%	2.3%
QoQ Growth	-	-	-	-	-	-	-	3%	3%	17%	17%	-	3%	17%
2-Year Avg Seasonality	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Constant Currency cRPO	5,600	7,100	8,520	10,400	12,440	15,460	15,460	15,200	15,622	15,350	15,350	15,027	15,700	16,068
YoY Growth	32.0%	26.0%	22.8%	22.8%	21.1%	21.1%	0.1%	6.7%	2.6%	12.7%	12.7%	-1.9%	4.3%	2.3%
QoQ Growth	-	-	-	-	-	-	-	4.6%	2.6%	12.7%	12.7%	-0.8%	5.0%	4.2%
2-Year Avg Seasonality	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Constant Currency Current RPO (excluding Inorganic Contribution)	5,600	7,100	8,520	10,400	12,440	15,460	15,460	15,200	15,622	15,350	15,350	15,027	15,700	16,068
YoY Growth	32.0%	26.0%	22.8%	22.8%	21.1%	21.1%	0.1%	6.7%	2.6%	12.7%	12.7%	-1.9%	4.3%	2.3%
QoQ Growth	-	-	-	-	-	-	-	4.6%	2.6%	12.7%	12.7%	-0.8%	5.0%	4.2%
2-Year Avg Seasonality	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Reported cRPO Based Bookings (Current)	5,619	7,175	8,565	10,631	12,584	15,896	15,896	15,447	15,444	15,896	15,896	15,447	15,449	15,896
YoY Growth	30%	29%	22%	29%	24%	26%	25%	21%	19%	19%	19%	19%	19%	19%
QoQ Growth	-	-	-	-	-	-	-30%	28%	-2%	37%	37%	-2%	26%	-3%
2-Year Avg Seasonality	-	-	-	-	-	-	2%	21%	1%	16%	16%	-4%	21%	1%
Subscription Slippage / cRPO Bookings Ratio	80%	80%	91%	92%	92%	91%	89%	87%	77%	100%	92%	88%	87%	80%
Net New ACV (M\$)	1,142.2	1,476.6	1,597.7	1,787.2	1,833.3	2,126.3	591.7	466.7	77.0	968.3	2,314.3	622.4	435.2	447.7
YoY Growth	17%	30%	8%	10%	10%	10%	10%	10%	8%	8%	9%	7%	7%	6%
Constant Currency Net New ACV	1,112.4	1,451.1	1,701.4	1,874.4	2,193.8	2,193.8	591.7	466.7	77.0	968.3	2,314.3	622.4	435.2	447.7
% of Full Year (M\$)	10%	10%	10%	10%	9%	8%	10%	10%	10%	10%	10%	10%	10%	10%
YoY Growth	19%	32%	15%	16%	22%	-	-	-	-	-	-	-	-	-
QoQ Growth	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Renewed ACV in the Period (M\$)	4,253.4	5,376.5	6,552.5	8,562.8	10,383.0	12,336.7	2,879.3	4,030.3	3,928.9	5,033.0	15,871.5	3,963.9	4,807.1	4,799.2
YoY Growth	30%	26%	22%	27%	21%	28%	14%	20%	19%	27%	19%	24%	21%	20%
QoQ Growth	-	-	-	-	-	-	-30%	44%	-3%	28%	28%	-29%	38%	-3%
Constant Currency Renewed ACV (M\$)	4,181.0	5,420.0	7,088.7	8,512.5	10,383.0	12,336.7	2,879.3	4,030.3	3,928.9	5,033.0	15,871.5	3,963.9	4,807.1	4,799.2
YoY Growth	30%	27%	32%	30%	17%	-	-	-	-	-	-	-	-	-
QoQ Growth	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Renewal Rate - Reported	50%	50%	98%	99%	98%	98%	98%	98%	98%	98%	98%	98%	98%	98%
ACV for Renewal in Period (M\$)	4,345.1	5,453.5	6,672.4	8,708.4	10,598.4	12,608.4	2,898.9	4,112.8	4,009.1	5,135.8	16,189.4	3,629.7	4,466.3	4,905.3
Churned ACV in Period (M\$)	91.45	117.14	15.00	25.69	211.90	272.18	58.8	82.3	80.2	102.7	323.91	72.7	95.1	124.1
% of Renewal Base Renewed in Period (M\$)	-	-	-	-	-	-	25.7%	28.8%	27.1%	33.4%	21.7%	28.9%	27.0%	33.0%
Renewal Base Estimate at the End of Period (M\$)	16,189.4	17,174.2	18,666.8	20,168.4	21,668.4	23,168.4	14,239.4	14,239.4	13,381.1	15,739.4	16,189.4	17,174.2	18,666.8	20,168.4
Professional Services Bookings	233.7	322.0	354.0	391.0	338.0	395.0	99.0	110.0	107.8	147.5	464.1	93.3	118.0	114.8
YoY Growth	-	-	-	-	-	-	3%	2%	2%	2%	-	2%	5%	2%
QoQ Growth	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Alloc. Rate	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Source: Company data, Morgan Stanley Research estimates

Exhibit 6: NOW Balance Sheet

(\$ in millions, except EPS)

	2020E						2021E						FY22E	
	FY20	FY21	FY22	FY23	FY24	FY25	2020	2021	2022E	2023E	2024E	2025E	FY22E	FY23E
Assets														
Cash and Cash Equivalents	1,679.4	1,732.4	1,475.4	1,894.4	2,394.0	3,726.0	2,732.0	2,553.0	1,819.9	5,870.4	1,879.4	8,393.9	8,322.4	9,789.9
Short-Term Investments	1,412.6	1,571.6	2,804.6	2,972.6	3,458.0	2,558.0	2,480.0	2,161.0	2,161.0	2,161.0	2,161.0	2,161.0	2,161.0	2,161.0
Accounts Receivables, net	1,009.4	1,309.0	1,725.0	2,090.0	2,240.0	2,627.0	1,713.0	2,201.0	2,177.4	3,450.7	3,450.7	2,403.2	3,193.3	4,395.6
Deferred Commissions	228.0	303.0	369.0	461.0	517.0	590.0	581.0	584.0	602.7	607.8	607.8	668.1	675.2	680.5
Prepaids and Other Current Assets	191.5	223.0	280.0	453.0	668.0	870.0	949.0	1,055.0	914.0	997.8	997.8	684.7	737.8	655.7
Deferred Taxes														
Total Current Assets	4,521.3	5,220.0	6,654.0	7,777.0	9,187.0	10,471.0	8,435.0	8,514.0	9,036.9	13,137.1	13,137.1	14,028.9	15,655.7	16,481.0
Property and Equipment, net	699.0	769.0	1,059.0	1,356.0	1,763.0	2,289.0	2,350.0	2,177.0	2,334.8	2,334.8	2,334.8	2,204.7	2,202.7	2,343.7
Deferred Commissions, less current	444.1	623.0	742.0	919.0	999.0	1,114.0	1,120.0	1,150.0	1,257.3	1,277.7	1,277.7	1,281.2	1,320.6	1,444.5
Intangible Assets, net	155.4	297.0	232.0	224.0	209.0	1,121.0	1,479.0	3,741.0	3,562.0	3,343.0	3,343.0	3,124.0	2,865.0	2,467.0
Goodwill	240.8	777.0	824.0	1,231.0	1,273.0	3,678.0	4,941.0	8,837.0	8,837.0	8,837.0	8,837.0	8,837.0	8,837.0	8,837.0
Deferred Income Taxes	-	-	-	-	-	1,056.0	914.0	890.0	890.0	890.0	890.0	890.0	890.0	890.0
Long-Term Investments	1,468.0	1,680.0	2,117.0	3,263.0	4,111.0	3,771.0	2,724.0	2,043.0	2,043.0	2,043.0	2,043.0	2,043.0	2,043.0	2,043.0
Other Assets	1,227.4	1,495.0	1,677.0	2,678.0	2,841.0	2,638.0	2,969.0	3,286.0	3,286.0	3,286.0	3,286.0	3,286.0	3,286.0	3,286.0
Investments in Unconsolidated Affiliate														
Total Assets	8,715.1	16,706.0	15,299.0	17,387.0	20,383.0	26,038.0	24,381.0	31,666.8	32,873.5	36,130.3	36,130.3	36,130.3	38,136.6	38,686.3
Liabilities														
Accounts Payable	34.2	89.0	274.0	120.0	68.0	204.0	427.0	162.0	274.7	525.7	525.7	743.4	229.2	385.1
Accrued Compensation	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Accrued	668.1	890.0	975.0	1,355.0	1,369.0	1,813.0	1,498.0	1,738.0	1,583.0	2,088.7	2,088.7	1,632.7	1,733.3	1,481.9
Warrant Liability	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred Revenue	2,062.8	3,836.0	4,680.0	5,785.0	6,819.0	8,314.0	8,030.0	8,857.0	7,476.8	8,545.9	8,545.9	9,127.8	9,154.2	8,474.6
Short-Term Debt	72.2	92.0	-	-	-	-	2,882.0	2,882.0	2,882.0	2,882.0	2,882.0	2,882.0	2,882.0	2,882.0
Other Short-Term Liabilities	-	-	82.0	89.0	152.0	112.0	118.0	114.0	114.0	114.0	114.0	114.0	114.0	114.0
Total Current Liabilities	3,737.1	4,940.0	6,005.0	7,365.0	8,359.0	10,440.0	9,953.0	12,153.0	14,356.3	14,356.3	14,356.3	13,099.9	13,262.7	12,465.5
Deferred Revenue	45.3	83.0	79.0	81.0	95.0	120.0	99.0	135.0	170.5	235.4	235.4	276.8	324.7	443

Exhibit 7: NOW Cash Flow Statement

(\$ in millions, except EPS)

						2020E					2027E						
	FY20	FY21	FY22	FY23	FY24	FY25	3/26	6/26	9/26E	12/26E	FY26E	3/27E	6/27E	9/27E	12/27E	FY27E	FY28E
Net income	118.5	230.0	325.0	1,731.0	1,425.0	1,748.0	469.0	298.0	330.6	473.8	1,571.4	962.0	1,005.6	882.6	833.5	3,083.7	3,398.2
Depreciation and Amortization	336.4	472.0	433.0	562.0	564.0	738.0	258.0	407.0	417.0	431.7	1,513.6	420.3	434.2	446.0	462.8	1,763.3	1,954.2
Amortization of Deferred Commissions	217.6	294.0	358.0	409.0	550.0	621.9	598.0	172.0	177.6	196.0	703.6	188.8	194.6	201.9	213.1	798.4	920.8
Stock Compensation Expenses	870.5	1,130.0	1,401.0	1,804.0	1,746.0	1,965.0	547.0	652.0	662.0	694.1	2,595.1	708.0	735.0	744.1	774.4	2,961.5	3,290.8
Tax benefit from exercise of stock options	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Provision for Bad Debt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Loss on Disposal of PPE	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred Income Taxes	(24.5)	(34.0)	15.0	(857.0)	98.0	172.0	102.0	96.0	-	-	138.0	-	-	-	-	-	-
Other	(15.4)	41.8	17.8	-	(51.0)	181.0	(82.0)	(215.0)	-	-	(287.0)	-	-	-	-	-	-
Changes in Working Capital																	
Accounts Receivable	(151.4)	(401.0)	(340.0)	(300.0)	(254.0)	(312.0)	912.0	(441.0)	23.6	(1,273.3)	(778.7)	1,047.5	(756.2)	(48.4)	(1,187.8)	(945.0)	(892.4)
Deferred Commissions	(365.3)	(565.0)	(566.0)	(717.0)	(713.0)	(758.0)	(195.0)	(181.0)	(202.8)	(343.6)	(804.4)	(219.8)	(215.2)	(246.7)	(461.8)	(1,083.4)	(1,276.1)
Prepaid Expenses and Other Assets	(54.2)	(50.0)	(39.0)	(203.0)	(238.4)	(344.0)	(42.0)	(76.0)	141.0	(83.5)	(80.6)	302.9	(43.1)	152.1	(488.8)	(126.9)	98.4
Other Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounts Payable	(33.6)	55.0	172.0	(142.0)	(52.0)	55.0	250.0	(241.0)	112.7	251.0	372.7	217.7	(514.2)	163.9	219.5	88.9	111.4
Other Accrued Liabilities	175.0	297.0	208.0	176.0	107.0	249.0	(278.0)	(154.0)	(155.0)	805.7	(31.3)	(456.0)	100.6	(251.5)	512.2	(94.8)	(197.3)
Deferred Revenue	711.0	860.0	904.0	1,085.0	1,179.0	1,179.0	(439.0)	280.0	(542.7)	2,132.1	1,430.3	(376.7)	24.3	(586.5)	2,357.4	1,418.5	1,450.5
Other Items and Liabilities	-	(199.0)	(165.0)	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Cash Provided by (used in) Operating Activities	1,785.6	2,191.0	2,723.0	3,398.0	4,480.6	5,444.0	1,670.0	587.0	963.9	2,972.0	6,192.8	2,394.7	965.7	1,207.5	3,294.6	7,862.5	9,468.7
YoY Growth	44.6%	22.6%	24.3%	24.8%	25.4%	27.8%	0%	-18%	19%	33%	13.8%	43%	65%	25%	11%	27.0%	20.4%
Capital Expenditures	(419.3)	(392.0)	(550.0)	(694.0)	(852.0)	(868.0)	(141.0)	(114.0)	(286.0)	(282.4)	(823.4)	(171.2)	(137.2)	(344.0)	(335.6)	(987.9)	(1,173.6)
Maturities/(Purchases) of Investments	(988.4)	(437.0)	(1,860.0)	(1,187.0)	(1,715.0)	225.0	987.0	807.0	-	-	1,924.0	-	-	-	-	-	-
Net Cash Paid for Acquisitions, Other Assets	(128.6)	(791.0)	(91.0)	(282.0)	(72.0)	(1,026.0)	(1,325.0)	(7,451.0)	-	-	(6,774.0)	-	-	-	-	-	-
Restricted Cash	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Investing Activities	1.3	13.3	18.0	6.0	446.0	(20.0)	28.0	(26.0)	-	-	2.0	-	-	-	-	-	-
Net Cash Provided by (used in) Investing Activities	(1,504.9)	(1,607.0)	(2,543.0)	(2,167.0)	(2,685.0)	(1,689.0)	(451.0)	(6,454.0)	(286.0)	(282.4)	(7,473.4)	(171.2)	(137.2)	(344.0)	(335.6)	(987.9)	(1,173.6)
Proceeds from Issuance of Common Shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from Issuance of Preferred Shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from Exercise of Stock Options and Restricted Stock	145.8	167.9	177.0	194.0	237.0	270.0	153.0	1.0	-	-	154.0	-	-	-	-	-	-
Tax benefit from exercise of stock options	647.6	(476.0)	(316.0)	(332.0)	(527.0)	(770.0)	(164.0)	(117.0)	-	-	(281.0)	-	-	-	-	-	-
Stock Repurchases	-	-	-	(538.0)	(696.0)	(1,840.0)	(2,225.0)	-	-	-	(2,225.0)	-	-	-	-	-	-
Net Borrowing	-	-	-	-	-	-	5,989.0	-	-	-	5,989.0	-	-	-	-	-	-
Other Financing Activities	(186.7)	(197.0)	(205.0)	(127.0)	(173.0)	-	(7.0)	-	-	-	(7.0)	-	-	-	-	-	-
Net Cash Provided by (used in) Financing Activities	596.6	(506.0)	(344.0)	(893.0)	(1,159.0)	(2,340.0)	(2,236.0)	5,874.0	-	-	3,639.0	-	-	-	-	-	-
Exchange Rate Impact	25.1	(25.0)	(93.0)	1.0	(17.0)	7.0	(7.0)	(6.0)	-	-	(13.0)	-	-	-	-	-	-
Change in Cash and Cash Equivalents	901.4	51.0	(297.0)	429.0	399.6	(422.0)	(1,024.0)	(199.0)	677.9	2,689.6	2,144.4	2,223.4	828.3	863.5	2,959.9	6,874.6	8,295.1
Cash, Beginning of Period	778.0	1,679.4	1,732.4	1,864.4	1,964.4	2,364.0	3,726.0	2,792.0	2,993.0	3,180.9	5,870.4	5,870.4	8,693.9	8,932.4	9,795.9	12,745.0	12,745.0
Cash, end of Period	1,679.4	1,732.4	1,435.4	2,293.4	2,364.0	1,942.0	2,702.0	2,593.0	3,180.9	5,870.4	8,014.8	8,093.9	8,932.4	9,795.9	12,745.0	19,619.6	31,040.1

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
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Global Stock Ratings Distribution

(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

ServiceNow Inc (NOW.N) - As of 07/23/26 GMT in USD
Industry : Software



Stock Rating History: 7/1/21 : 0/A; 10/21/24 : E/A; 9/24/25 : 0/A

Price Target History: 12/17/20 : 132.4; 7/29/21 : 140; 10/4/21 : 159.2; 10/28/21 : 161.4; 1/27/22 : 162; 4/28/22 : 149;
5/18/22 : 118.8; 7/14/22 : 115; 7/27/22 : 111.2; 10/19/22 : 108; 10/26/22 : 104; 12/19/22 : 122.4; 5/9/23 : 117.2; 7/26/23 : 126;
10/26/23 : 129.6; 12/21/23 : 159.4; 1/25/24 : 162.8; 4/25/24 : 166; 7/25/24 : 180; 10/21/24 : 192; 4/15/25 : 176.2; 4/24/25 : 190;
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Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/22/2026)
Adam Wood		
Adobe Inc. (ADBE.O)	U (07/21/2026)	\$218.36
Atlassian Corporation PLC (TEAM.O)	O (01/13/2020)	\$85.40
Intuit (INTU.O)	E (07/21/2026)	\$284.47
Microsoft (MSFT.O)	O (07/21/2026)	\$390.34
Salesforce, Inc. (CRM.N)	E (07/21/2026)	\$163.00
Samsara Inc (IOT.N)	E (03/23/2023)	\$33.33
ServiceNow Inc (NOW.N)	O (09/24/2025)	\$95.46
Shopify Inc (SHOP.O)	O (04/19/2024)	\$118.42
Workday Inc (WDAY.O)	U (07/21/2026)	\$132.42
Chris Quintero		
BILL Holdings Inc (BILL.N)	E (06/10/2025)	\$41.89
Blackline Inc (BL.O)	E (07/21/2026)	\$27.87
Descartes Systems Group Inc (DSGX.O)	O (01/15/2026)	\$68.10
Manhattan Associates Inc. (MANH.O)	E (10/21/2025)	\$149.11
Navan Inc (NAVN.O)	O (11/24/2025)	\$23.54
SPS Commerce Inc (SPSC.O)	U (07/21/2026)	\$60.12
Vertex Inc. (VERX.O)	E (07/21/2026)	\$11.05
Elizabeth Porter, CFA		
Amplitude Inc. (AMPL.O)	O (01/15/2026)	\$8.74
Autodesk (ADSK.O)	O (08/23/2024)	\$203.50
Figma Inc (FIG.N)	E (08/25/2025)	\$21.47
Five9 Inc (FIVN.O)	E (10/10/2022)	\$22.95
Freshworks Inc (FRSH.O)	E (10/18/2021)	\$10.06
GoDaddy Inc (GDDY.N)	E (07/19/2021)	\$89.40
HubSpot, Inc. (HUBS.N)	O (03/21/2023)	\$204.90
Klaviyo, Inc (KVYO.N)	O (04/29/2026)	\$16.20

LegalZoom.com Inc (LZ.O)	U (07/28/2022)	\$7.08
Liveramp Holdings Inc (RAMP.N)	E (01/13/2025)	\$37.66
NICE Ltd. (NICE.O)	E (07/21/2026)	\$88.52
RingCentral Inc (RNG.N)	E (08/08/2023)	\$37.66
Sprinklr Inc (CXM.N)	E (07/19/2021)	\$5.56
Sprout Social Inc (SPT.O)	E (11/17/2020)	\$7.61
Twilio Inc (TWLO.N)	O (02/24/2025)	\$183.38
Wix.Com Ltd (WIX.O)	E (07/21/2026)	\$48.66
Zeta Global Holdings Corp (ZETA.N)	E (08/01/2024)	\$20.18
ZoomInfo Technologies Inc (GTM.O)	E (02/01/2024)	\$2.92
Josh Baer, CFA		
Asana Inc (ASAN.N)	U (05/20/2025)	\$6.88
Box Inc (BOX.N)	E (05/21/2024)	\$28.45
CCC Intelligent Solutions Holdings Inc (CCC.O)	O (11/13/2024)	\$5.73
Commerce.com Inc. (CMRC.O)	++	\$2.72
CoreWeave (CRWV.O)	E (04/22/2025)	\$82.64
Coursera, Inc. (COUR.N)	E (04/22/2026)	\$5.34
DigitalOcean Holdings Inc (DOCN.N)	O (01/16/2025)	\$142.68
Docebo Inc. (DCBO.O)	E (05/12/2025)	\$19.54
DocuSign Inc (DOCU.O)	E (01/16/2024)	\$47.89
Lightspeed Commerce Inc. (LSPD.N)	E (02/18/2021)	\$9.76
monday.com Ltd (MNDY.O)	O (08/12/2025)	\$73.91
Nebius Group NV (NBIS.O)	E (01/15/2026)	\$218.16
Sabre Corp (SABR.O)	E (03/16/2021)	\$1.66
ServiceTitan Inc (TTAN.O)	O (01/20/2026)	\$69.90
Toast, Inc. (TOST.N)	O (12/16/2021)	\$29.21
Via Transportation Inc (VIA.N)	O (01/20/2026)	\$17.50
Zoom Communications (ZM.O)	E (10/11/2022)	\$85.81
Meta A Marshall		
Check Point Software Technologies Ltd. (CHKP.O)	E (10/16/2023)	\$127.91
CrowdStrike Holdings Inc (CRWD.O)	O (03/10/2026)	\$188.42
Fortinet Inc. (FTNT.O)	E (07/21/2026)	\$155.05
Gen Digital Inc. (GEN.O)	E (06/07/2024)	\$25.58
Netskope, Inc. (NTSK.O)	O (10/13/2025)	\$11.96
Okta, Inc. (OKTA.O)	O (12/02/2024)	\$136.69
Palo Alto Networks Inc (PANW.O)	O (10/10/2017)	\$335.28
Qualys Inc (QLYS.O)	U (02/09/2021)	\$140.23
Rapid7 Inc (RPD.O)	U (07/21/2026)	\$9.91
SailPoint Inc (SAIL.O)	O (09/02/2025)	\$14.78
SentinelOne, Inc. (S.N)	E (12/02/2024)	\$18.22
Tenable Holdings Inc (TENB.O)	E (12/02/2024)	\$32.83
Varonis Systems, Inc. (VRNS.O)	E (01/26/2026)	\$45.33
Zscaler Inc (ZS.O)	E (04/22/2026)	\$142.26
Sanjit K Singh		
Akamai Technologies, Inc. (AKAM.O)	O (01/12/2026)	\$124.30
Appian Corp (APPN.O)	E (04/30/2026)	\$22.64
C3.ai (AI.N)	U (01/04/2021)	\$8.19
Cloudflare Inc (NET.N)	O (12/02/2024)	\$268.98
Datadog, Inc. (DDOG.O)	O (01/12/2026)	\$245.77
Dynatrace Inc (DT.N)	E (02/13/2024)	\$41.36
Elastic NV (ESTC.N)	E (07/21/2026)	\$58.68
GitLab Inc (GTLB.O)	E (01/12/2026)	\$31.35
JFrog Ltd. (FROG.O)	E (07/21/2026)	\$79.68
MongoDB Inc (MDB.O)	O (04/12/2023)	\$304.97
Oracle Corporation (ORCL.N)	E (01/15/2019)	\$125.84

PagerDuty, Inc. (PD.N)	U (07/21/2026)	\$8.82
Palantir Technologies Inc. (PLTR.O)	E (02/04/2025)	\$124.57
Snowflake Inc. (SNOW.N)	O (06/24/2025)	\$267.80
UiPath Inc (PATH.N)	E (09/07/2022)	\$10.70

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